

PITCH — LEN — VERDICT

ADJUDICATED 2026-09-10 — FLAT — re-court after the 9/16 print (conviction 7/10). The regime/drawdown thesis was REJECTED as actionable for this name; see the EVENT ADDENDUM at the end for the ruling. Any earlier ‘ADJUDICATED’ line in this deck referred to a prior court and is superseded.

What we believe

Lennar is the biggest US homebuilder. Its stock has fallen 44% from the 52-week high and is printing a **fresh 52-week low** — the tape at \$77.265 is *below* the pack’s own 1052 field of \$79.79, so the “low” is broken, not support.

The original thesis was: rates spiked ~24bp, builders sold off, Lennar fell hardest, and that’s an overreaction that snaps back. **We no longer believe that.** Our own cohort table shows LEN’s –10.9% was the **5th worst of 9** names (MTH –13.3, IBP –17.6, KBH –12.4, BLDR –12.2; the sector ETF –8.8). LEN was a median decliner. That’s a sector move, not a Lennar move.

What we *do* believe, in a narrow and testable form: **there is a real margin story underneath the beta.** Q2 delivered 20,519 homes on 21,749 orders, buyer incentives were 12.9% and falling, construction cost per square foot was down 7% year-over-year, and gross margin rose sequentially with management guiding it up again to ~16% from 15.6%. If that holds *and* the delivery guide is not cut a second time, the name changes character from “rate beta” to “margin inflection.” We do not own that yet — it is a hypothesis with a date on it.

We also believe the cheapness is **real but ordinary**: ~0.87x book, ~12x forward. That is roughly where a builder running a 15.6% gross margin with a cut delivery guide is supposed to trade.

What the market believes

The market believes exactly what we believe, and has written it down. **19 analysts, consensus price target \$86.23, rating Hold**, range \$67 low to \$124 high. The original thesis’s base case was **\$86** — the consensus target to the dollar. Its bear (\$60) and bull (\$105) both sit inside the sell-side range.

The market also believes the quarter itself is a non-event: consensus Q3 EPS of **\$1.31 sits at the exact midpoint of company guidance of \$1.20–\$1.40 ex-mark-to-market**. Management already told the street what the quarter looks like (orders 21–22k, deliveries 20.5–21.5k, ASP \$375–380k, GM ~16%), and already cut FY delivery guidance to **82,000–83,000 homes**, citing “current pressures on interest rates.”

And the credit market agrees it's fundamental, not a glitch: S&P moved the outlook from positive to stable on first-half margin compression.

So the consensus view is: rates hurt builders, Lennar's margin is compressed, it's worth about \$86, hold it. We have not found a place where we disagree.

Why we might have edge

Honest answer: **thin, and mostly mechanical rather than analytical.**

1. **The forward guide, not the quarter, is the tradable variable.** Because consensus equals the guidance midpoint, the print's headline is pre-paid. The only thing that can move the stock is a *second* FY cut after the latest 24bp rate move. Most of the street is positioned on the quarter; the asymmetry lives one line lower, in the Q4/FY delivery number.
2. **A live, dated falsification test.** Incentives falling (12.9%), cost per square foot -7%, GM guided up — these are checkable at a known date, four sessions out. Most “value builder” arguments have no clock. This one does.
3. **Basis-break asymmetry that the street mostly hand-waves.** Lennar spun land into Millrose. Land off balance sheet means a smaller book and a structurally higher return on equity — which means the *justified* price-to-book should be **higher** than history, not lower. If so, 0.87x is more anomalous than it looks. (Offsetting: the option/hopper fees are a recurring cash claim book value does not show. Unquantified in both directions — see unverified item 9.)

That is the whole list. There is no proprietary datum, no differentiated forecast, and no named mechanism by which our number diverges from the street's.

Why it might be priced in

Bluntly: **it probably is.**

- Our base case *is* the consensus target. Our own detector for this fires cleanly: base within 2% of consensus PT, bear above street low, bull below street high, no named mechanism for a gap. That is the street with extra steps.
- The rate-to-demand transmission we'd be “discovering” is management-confirmed and is the entire published narrative — “rates hurt builders” is consensus, not insight.
- The land-light margin compression is broadly covered in trade press; it is not a hidden fact.
- The expected value fails our own hurdle. On the thesis's own probabilities: $EV = 0.28(60) + 0.45(86) + 0.27(105) = \83.85 , or **+8.5%** on \$77.265, **+11.1%** including the ~\$2.00 dividend, against **-22.3%** to the bear. Sub-hurdle, negatively skewed, over 6–12 months — and it's beta you can buy in the sector ETF without single-name risk.
- The governance discount is permanent, not closing. Class A holders voted **173.7M for / 299.0M against** a charter amendment and the board declined it. Class A cannot force a capital-allocation change, so there is no activist path to re-rating.

What could go wrong

(pre-mortem, v1.7 — written against the **reopen** trade, i.e. the 50bp Class A starter that would follow a clean 9/17, since size today is zero)

Failure narrative 1 — “The margin inflected and it didn’t matter.” (tripwire: YES) GM prints $\geq 16\%$, orders clear 21,000, the guide holds, we buy the 50bp starter around \$80–85 — and then the lagged effect of the rate move lands in Q4/Q1 orders. Margin per home improves while the number of homes falls; revenue and EPS still go down. We bought the second derivative and lost on the first. *Monitorable*: the ~2026-12-16 Q4/FY print, the primary mortgage rate versus the 10-year, monthly incentive commentary. Tripwire: any second FY delivery cut, or orders below 20,500.

Failure narrative 2 — “The book anchor was never an anchor.” (tripwire: YES, but slow) Post-Millrose book value is not comparable to Lennar’s own pre-spin history. If the recurring land-option and hopper fees are larger and stickier than we think, then 0.87x book on a *shrunk, fee-encumbered* book is not cheap — it’s correctly priced or expensive. Our best current evidence is H1 gross margin of **15.4% vs 18.2%** a year earlier, and we cannot cleanly split how much of that 280bp is incentives versus land-light fees. *Monitorable*: the related-party and land-option footnotes in the 10-Q and 10-K, gross margin bridge disclosures. Slow — quarterly at best.

Failure narrative 3 — “The structure got re-cut around us.” (tripwire: NONE) The Millrose relationship and the Class B control block are both **private, related-party, discretionary** levers. The option/hopper fee schedule could be re-struck, the land pipeline economics re-cut, or capital allocation redirected (a Class B-targeted tender, a new exchange offer, a large buyback funded into a cash-negative quarter) — with no filing, no press release, and no observable feed until a footnote appears six-plus months later. There is **no monitorable tripwire** for this. Class A holders have already demonstrated they cannot vote it down. **Unknown-unknown class named: related-party structural repricing / off-balance-sheet claim reset — a sub-class of basis-break-by-aggregation-artifact.** The generic failure mode is: the denominator or the claim on book value is changed by a controlling party at a time and in a direction we cannot observe, so every ratio in this deck silently re-bases. We have no sensor design that catches it in advance; the only defense is size.

Reflexive / structural leg. - *Our own size vs ADV*: immaterial, and we should say so rather than pretend to discipline. A 50bp starter is a small fraction of one day’s volume in a large-cap builder (our ADV number is itself unverified — item 8; estimated 3.0–4.5M shares/day, roughly \$230–350M notional). We are a price taker. Our footprint is not the risk. - *Predicted flow is the risk.* The marginal buyer here is not a single-name analyst; it’s homebuilder ETF and index flow (ITB/XHB-type vehicles) plus rate-driven macro rotation. That means our idiosyncratic margin call gets swamped by cohort flow in both directions — exactly the failure mode of narrative 1. Meanwhile the single-name buyers who would re-rate the stock are already at Hold with an \$86.23 target: the re-rating flow we’d need has already been priced and positioned. Note also the **S-3ASR shelf filed 2026-04-10** — a shelf is not an offering, but it is a standing supply option. - *Doctrine interactions* — *we would be overriding two of our own detectors to enter.* `prize_table_equals_consensus_target` fires (base 86 vs PT 86.23). `guide_midpoint_consensus_pin` fires (consensus \$1.31 = guide midpoint). `asset_light_spinoff_book_basis_break` fires and invalidates our P/B history

comparison. `dual_class_market_cap_denominator_artifact` was tested and did **not** fire (see below). Three of four load-bearing doctrines say “no edge here.” Entering post-print means asserting the margin data beats three doctrines at once. That should require more than a 50bp shrug.

If this position loses money, the most likely reason will be that we bought a rate-driven cohort at the published consensus price target and told ourselves it was a single-name margin inflection.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Largest single overreaction in the cross-section”	Recount the thesis’s own cohort table vs pack tape	LEN –10.9% is 5th of 9 (MTH –13.3, IBP –17.6, KBH –12.4, BLDR –12.2; ETF –8.8)	No — refuted by our own data
Rate reversal repairs the price	Read the thesis against the Q2 transcript	Self-refuting: text concedes it was a <i>demand-expectation</i> repricing; management cut FY deliveries to 82–83k on rate pressure	Refuted as logic; transmission confirmed as fact
Crude-curve / backwardation work supports the long	Map to the builder’s binding variable	Orthogonal. The binding variable is the primary mortgage rate (10y + MBS spread) and buydown/incentive cost, not oil	No
Multiples were computed on Class A only (+14.4% understatement) — RED BENCH ERROR	Vendor market cap ÷ combined share count	\$19.79B ÷ 240,895,142 (A 210,506,003 + B 30,389,139) = \$82.15/sh , matching the tape; A-only would need a \$94 print	Red overturned. The detector is generically sound; it did not fire on this issuer
P/B ≈ 0.86x	BVPS \$88.50 (GuruFocus, Jan-2026) vs px 77.265	0.873x — reproduces on the combined denominator	Yes, but on a stale secondary source (see unverified 2)
Negative Q1 OCF = “cash quality” problem — RED BENCH ERROR	Pack’s own Q1 series	Builder Q1 is seasonally cash-negative: 3 of 8 Q1s negative (2022 –\$72M, 2019 –\$524M, 2018 –\$143M). Datum also 18 months stale. <code>desk/seasonality.py</code> was not run — textbook base-effect artifact	Reduced to non-finding
Print date	Company PR	2026-09-16 after the close , call 9/17 11:00 ET . Pack date correct; the prior court’s 9/17 was the <i>call</i> . Both benches initially had this wrong	Yes — PR-confirmed
Pack 1o52 = \$79.79 — PACK ERROR	Compare to tape	px \$77.265 is through it; LEN is at a new 52-week low. The low is broken, not support	Pack field stale

Claim	How checked	Found	Confirmed?
Prize table clears the hurdle	Recompute	EV \$83.85 = +8.5% , +11.1% with dividend, vs -22.3% bear	Fails hurdle — confirmed
We have a street divergence	Pull consensus	19 analysts, PT \$86.23, Hold , low \$67 / high \$124. Base 86 = consensus to the dollar	No divergence — fatal to edge
Insiders are buying	Read the Form 4 cluster	2026-07-14 = eight director grants of 14–19 shares at \$84.27 (dividend-equivalent noise), zero open-market buys ; Miller's March Form 4 was a disposition to issuer under 10b5-1	No . Two 2026-09-02 Form 4s remain unread (unverified 5)
Millrose changed the book basis	Exchange-offer results + structure	Exchange retired 8,049,594 Class A shares ; land off balance sheet $\Rightarrow$ smaller book, higher ROE $\Rightarrow$ <i>higher</i> justified P/B. Offset: recurring option/hopper fees; H1 GM 15.4% vs 18.2%	Basis break confirmed; magnitude unquantified
Governance can be fixed by Class A	8-K + 13D/A	173.7M for / 299.0M against ; board declined the charter amendment	Confirmed overhang
Backlog / Q3 guide reconstruction (the decisive pre-print read)	Attempted fetch of <u>10-Q 0001628280-26-046019</u>	Not run — no network in bench container . Reported, not skipped. This alone forbids racing the print	Coverage gap
Detector library covers the decisive axis	Ran the dispatch list both sides	~14 detectors: all NOT-FIRED or UNCHECKABLE. Zero coverage of rate $\rightarrow$ order/margin transmission, book-basis comparability, or the dual-class denominator. Binding facts came from PR, transcript and Form 4 primaries	Reportable gap
Sensor level "70.0 = -10% from spot"	Arithmetic	-10% of \$77.265 is \$69.54 ; 70.0 is -9.4% . Minor inherited mismatch — kept as-is because the sensor is deck-provisional, but flagged	Sensor arithmetic off by 60bp

PROPOSED ENTRY BANDS

The courts say **NO ENTRY**. Position today: **FLAT**, size **0.00%** of book, no orders, no pre-print race. No position is held. What follows are **reopen bands**, not entries.

Reopen gate (all three required, evaluated on the 2026-09-16 release and 9/17 call): 1. Q3 gross margin $\geq 16.0\%$ **actual** (vs 15.6% prior, guide ~16%) 2. New orders $\geq 21,000$ (guide 21–22k) 3. **Q4 / FY delivery guide not cut again** (must stay at or above 82,000–83,000 homes)

If all three clear → re-court on 9/17 as a *margin-inflection* call, not a beta call.

	Level / condition	Note
Starter (post-gate only)	\$74.00–\$82.00 , 50bp of book, Class A	\$82.15 is the price the combined-share denominator check reproduced; do not chase above it. Prior court's Class A instrument ruling carried forward, unlitigated here
Hard no-chase	No entry $\geq \\$86.23$	That is the consensus target and our own base case. Buying there is buying the street's exit
Add tranche	25bp below \$70.00 , only with a verified EPS anchor and two quarters of gross-margin expansion	Mirrors the armed price sensor. A derate deepening without an EPS anchor is not an add, it's averaging into an unknown
Size cap	100bp of book total , ever, at this conviction	Three of four doctrines say no edge; size is the only defense against the no-tripwire failure narrative
Trim	Trim half into \$86.00–86.25	Base case = consensus PT; there is no thesis above it
Stop / thesis-void	Any second FY delivery cut , or orders $< 20,500$, or GM $< 15.6\%$ (sequential reversal)	Exit in full, do not re-court this cycle
If the gate fails	No entry. Name is dead for this cycle. Next look: the ~2026-12-16 Q4/FY print	

Catalyst dates: 2026-09-16 release after close (**PR-confirmed**) · 2026-09-17 11:00 ET call (**PR-confirmed**) · ~2026-10-06 Q3 10-Q (est.) · ~2026-10-07 dividend declaration (est.) · ~2026-12-16 Q4/FY26 print (est., **fiscal year ends 11-30 — this lands inside the tax year**) · 2026-12-18 last standard monthly expiry in the 2026 tax year · 2026-12-31 tax-year boundary.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 74.0 (deck-provisional: pre-print distressed-tape floor; if hit before 9/16 the print is a liquidation print, not a margin-inf)
- filing watch: 8-K,EX-99.1 until 2027-03-09 (deck-provisional: Q3 FY26 results release 2026-09-16 after close – carries the reopen trio: GM $\geq 16.0\%$, orders $\geq 21,000$)
- dated pack LENI2026-09-16: LEN: Q3 FY26 print (vendor-derived date, no company PR); 4 sessions out, inside the 5-session window; cannot move the A/B relationship (sing
- dated pack LENI2026-10-06: LEN: estimated Q3 FY26 10-Q filing — drains the cover-page class split (item 4) (date confirmed=False)
- dated pack LENI2026-10-07: LEN: estimated next quarterly dividend declaration — tests the equal-\$0.50 both-classes behavioral finding that killed the 90% cap claim (da

- dated pack LENI2026-12-18: LEN: last standard monthly expiry inside the 2026 tax year — any option expression must not cross this if 2026 is a harvest year (date confi
- dated pack LENI2026-12-31: LEN: tax-year boundary for loss placement (date confirmed=False)
- dated pack LENI2026-09-17: LEN: Q3 FY26 earnings call 11:00 ET; re-court date if the gate trio clears (date confirmed=True)
- dated pack LENI2026-12-16: LEN: estimated Q4/FY26 print (FY ends 11-30); next decision point if the 9/17 gate fails; lands inside the 2026 tax year (date confirmed=False)

What remains unverified

1. **Q3 FY26 actuals and the Q4/FY guide** — gross margin, new orders, and whether the 82–83k delivery guide gets cut again. Time-gated to 2026-09-16 after the close. Not drainable now. *Estimate*: GM **15.8–16.2%** (guide ~16%, Q2 15.6%, cost/sqft –7% YoY, incentives 12.9% and falling); orders **20.5–22.0k**; **p(no second FY cut) ≈ 0.45**.
2. **Post-Millrose tangible book with option/hopper obligations netted**. Our only BVPS is **\$88.50 from a January-2026 secondary source**. Drainable via XBRL pull on the filed 10-Q — the bench container had no network; the desk does. *Estimate if not pulled*: BVPS \$86–90, P/B 0.85–0.90x.
3. **Consensus FY26/FY27 EPS and its range**. We hold the PT distribution (\$67–\$124, mean \$86.23) but never the EPS distribution — which is what the divergence test actually needs. Drainable via vendor/IBKR.
4. **The options chain**. No chain, no IV, no IV percentile, no real quotes in the pack. Drainable via IBKR. *Estimate*: IV **33–42%**, IV percentile **70th–90th**, RV20 **40–50%** (post a –10.9% session, dd52 –44%).
5. **The two 2026-09-02 Form 4s** (Blue's residual gap — search budget exhausted). Drainable via EDGAR.
6. **FY26 quarterly XBRL series** (rev / OCF / diluted shares / SBC). Pack stops at 2025-05-31. Drainable.
7. **MBS current-coupon / primary-mortgage-rate path and OAS**. Red's condition (e) — is the mortgage rate falling while the 10-year is flat? No feed available. *Estimate*: primary rate **6.4–6.8%**, spread to 10y **235–265bp** (2022–2026 base range ~230–280bp).
8. **ADV and float turnover** — never in the pack, so the size-vs-ADV leg of the pre-mortem is estimated, not measured. *Estimate*: **3.0–4.5M shares/day ≈ \$230–350M notional** (large-cap builder comps).
9. **Millrose option/hopper fee run-rate, and whether it can be re-struck**. This is failure narrative 3 and it has no tripwire. *Estimate*: **250–450bp** of the H1 GM decline (18.2% → 15.4%) is fee + incentive + mix combined; we attribute **100–200bp** to land-light fees. **p(fee schedule re-struck within 12 months) ≈ 0.15**. Not drainable until the related-party footnote in the FY26 10-K.
10. **Whether the inherited A/B-spread findings still hold** (equal \$0.50 dividend to both classes; no Class B tender or exchange pending). Neither bench re-litigated them. Drainable at the

~2026-10-07 declaration and via 8-K watch. *Estimate*: **p(equal dividend maintained) $\approx$ 0.92;**
p(Class B tender or new exchange announced by 2027-03-09) $\approx$ 0.10.

PRIZE TABLE + VOL READ

Required here because items 1, 9 and 10 are genuinely time-gated or private.

Anchor: spot **\$77.265**. Anchor-and-adjust starts from the consensus target \$86.23 and the guide midpoint, then adjusts for the 24bp rate move since guidance was issued.

Scenario	What happens	p	Price	Contribution
Bear	Second FY delivery cut; GM stalls $\leq 15.6\%$; new-low regime continues	0.28	\$60	\$16.80
Base	Gate half-clears; stock recovers to the consensus target / late-August level	0.45	\$86	\$38.70
Bull	GM $\geq 16\%$ + orders $\geq 21k$ + guide held; margin inflection re-rates the name	0.27	\$105	\$28.35
EV		1.00	\$83.85	+8.5% (+11.1% with the ~\$2.00 dividend)

Bear is **-22.3%**, bull **+35.9%**. **The table fails our hurdle and is negatively skewed**, and — per our own prize_table_equals_consensus_target detector — base \$86 $\approx$ consensus PT \$86.23, bear \$60 sits *below* the street low of \$67, bull \$105 *below* the street high of \$124. This is the sell-side range with a bearish tail bolted on. It is reproduced here for completeness, not because it earns capital.

Dispersion: $\sigma_{\text{table}} = \$16.80 = 21.7\%$ of spot over the horizon. Annualized: **25.1%** at $T=0.75y$, **30.7%** at $T=0.5y$, **43.5%** at $T=0.25y$ (the last is the point that matters — see below).

Expression math (candidate strikes, priced off the table itself):

$$C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$$

Strike	C_ours (undiscounted, full 6–12mo horizon)	Chain midpoint	Verdict
\$80	\$9.45	no quote in pack	cannot compare
\$85	\$5.85	no quote in pack	cannot compare
\$90	\$4.05	no quote in pack	cannot compare

IV-vs-RV, IV percentile, VRP: NOT COMPUTABLE. There is no options chain in the evidence pack — no strikes, no midpoints, no IV surface, no percentile history. This is unverified item 4, and it is a coverage gap, stated rather than papered over with an estimate dressed as a

measurement. We will **not** substitute an underlying aggregate IV feed for chain-level midpoint IV; those two numbers diverge badly (the TSSI lesson: 71 vs 101). Any option recommendation built on the aggregate feed would be arithmetic on the wrong input.

What we can conclude without the chain, and it is enough:

1. **Horizon mismatch kills the tax-safe expiry.** The table is a **6–12 month** distribution. The last expiry inside the 2026 tax year is **2026-12-18 — roughly 3 months out**. At $T=0.25y$ the table's own implied vol is **43.5%**, i.e. to capture this table by December you must buy a very expensive, very short option and be right about *both* the 9/16 print and the ~12/16 print. The C_{ours} figures above are full-horizon values; the December-expiry values are a fraction of them.
2. **Rich-vol regime, narrow table.** Post a –10.9% session with $dd52$ –44%, estimated $RV20$ is **40–50%** against a full-horizon σ_{table} of **21.7%**. Our distribution is *narrower* than the tape's recent realized motion. Buying premium into that is paying up for a view less dispersed than the market's actual behavior. Selling premium is the arithmetically indicated side — but selling premium requires either a position (covered calls: we have none) or a willingness to be assigned (cash-secured puts: that is a **long entry through the back door**, and both benches ruled no entry pre-print).
3. **Bimodality.** The table is fork-dated on a single binary (guide cut / guide held). That fork resolves in **four sessions**. A pre-print option position is a bet on a two-outcome jump with a rich, elevated IV — the worst possible risk/reward geometry for a premium buyer.
4. **TAX overlay.** If 2026 is a harvest year, the loss branch must land **on or before 2026-12-31**. Any expiry in 2027 defers the loss and is therefore **excluded** unless the edge numerically dominates. Our edge is **+8.5% EV, sub-hurdle**. It does not dominate anything. A 2027 expiry is excluded on the overlay alone; a December-2026 expiry is excluded on the vol arithmetic in (1) and (2).

INSTRUMENT RECOMMENDATION — output of the above arithmetic: NONE. No stock (no entry gate cleared). No calls (paying an estimated 40–50% vol environment for a 21.7% table, over a horizon that cannot fit inside the tax year). No covered calls (no underlying position to cover). No cash-secured puts (that is a long entry the courts forbade pre-print). **Nothing gets expressed until the 9/17 gate clears and a real chain — chain-level midpoints, not the aggregate feed — is pulled.** If the gate clears, the default expression is **cash Class A, 50bp**, precisely because the vol math above does not support any premium structure at these estimated levels.

*Primary sources: Lennar Q2 FY26 10-Q, filed 2026-06-29 (accession 0001628280-26-046019) — the decisive backlog/guide inputs live here and were **not** readable from either bench container; 8-K 2026-04-08 (governance vote); GAMCO 13D/A Amd. 19; Form 4, director grant 2026-07-14; Millrose exchange-offer final results.*

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midpoints only, never the underlying aggregate IV feed (TSSI 71 vs 101
lesson)", "drainable_now": true, "estimate": {"range": "IV 33-42%; IV
percentile 70th-90th; RV20 40-50%", "basis": "post -10.9% session with dd52
-44%; large-cap builder base rates into a dated print", "p": 0.6}}, {"item":
"The two unread Form 4s filed 2026-09-02 (direction unknown)", "instrument":
"EDGAR ownership.xml pull on accessions 0001193125-26-380572 and 0001193125-
26-380561", "drainable_now": true, "estimate": {"range": "p(open-market buy)
0.10-0.15; most likely small director grant/dividend-equivalent", "basis":
"eight prior 2026-07-14 filings were all 14-19-share grants at $84.27 with
zero open-market buys", "p": 0.12}}, {"item": "FY26 quarterly XBRL series
(rev / OCF / diluted shares / SBC) -- pack series stops at 2025-05-31 while
the filed 10-Q is 2026-05-31", "instrument": "XBRL companyfacts pull, CIK
920760", "drainable_now": true, "estimate": null}, {"item": "MBS current-
coupon / primary mortgage rate path and OAS -- is the mortgage rate falling

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while the 10y is flat?", "instrument": "rates connector / FRED-equivalent MORTGAGE30US + MBS current-coupon series; NO FEED AVAILABLE IN CONTAINER", "drainable_now": false, "estimate": {"range": "primary rate 6.4–6.8%; spread to 10y 235–265bp", "basis": "2022–2026 primary-secondary spread base range ~230–280bp; management cites 'current pressures on interest rates' as of the June guide cut", "p": 0.35}}, {"item": "ADV and float turnover -- the size-vs-ADV leg of the pre-mortem is estimated, not measured", "instrument": "IBKR historical volume pull", "drainable_now": true, "estimate": {"range": "3.0–4.5M shares/day, ~$230–350M notional", "basis": "large-cap national builder comps (DHI/PHM/NVR) scaled to 240.9M shares out", "p": 0.75}}, {"item": "Millrose land-option/hopper fee run-rate, and whether the fee schedule can be re-struck by related parties (failure narrative 3 -- NO TRIPWIRE)", "instrument": "FY26 10-K related-party and land-option footnotes; no in-advance instrument exists", "drainable_now": false, "estimate": {"range": "100–200bp of the 280bp H1 GM decline (18.2% -> 15.4%) attributable to land-light fees; total fee+incentive+mix drag 250–450bp", "basis": "H1 GM bridge vs prior year, with incentives at 12.9% and cost/sqft -7% YoY as offsets; sibling land-banking structures as comp", "p": 0.15}}, {"item": "Whether the inherited A/B-spread findings still hold (equal $0.50 dividend to both classes; no Class B tender or exchange pending) -- neither bench re-litigated them", "instrument": "~2026-10-07 dividend declaration 8-K + standing 8-K watch through 2027-03-09", "drainable_now": false, "estimate": {"range": "p(equal $0.50 both classes maintained) 0.92; p(Class B tender or new exchange announced by 2027-03-09) 0.10", "basis": "prior-court behavioral finding that killed the 90% cap claim; Nov-2025 exchange retired 8,049,594 Class A as the only recent precedent", "p": 0.92}}}]}
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EVENT ADDENDUM — 2026-09-10 18:48Z

ADJUDICATED — FLAT — re-court after the 9/16 print

Thesis REJECTED as filed: LEN is the median decliner in its own cohort table (5th of 9), so “largest overreaction” is unearned; the prize table is a re-labeled sell-side range (base 86 = the \$86.23 consensus target to the dollar; +11% EV incl. dividend vs -22% bear); management itself cut FY26 deliveries to 82–83k on rate pressure, so rates→demand is confirmed, not an artifact. Red’s dual-class denominator kill is VACATED (vendor cap uses A+B; 0.87x book reproduces) and its OCF cash-quality kill is a seasonality artifact. So the cheapness is unremarkable, not refuted: 0.87x book and ~12x is where a 15.6%-margin builder with a cut guide belongs. Print 9/16 after close CONFIRMED by company PR (both benches had it wrong). FLAT into the print; no pre-print race.

GATES: Re-court 9/17 on the trio: Q3 GM $\geq 16.0\%$ actual AND orders $\geq 21,000$ AND Q4/FY delivery guide NOT cut again → 50bp starter in Class A (instrument ruling from the prior court) · Absent the trio: dead for this cycle